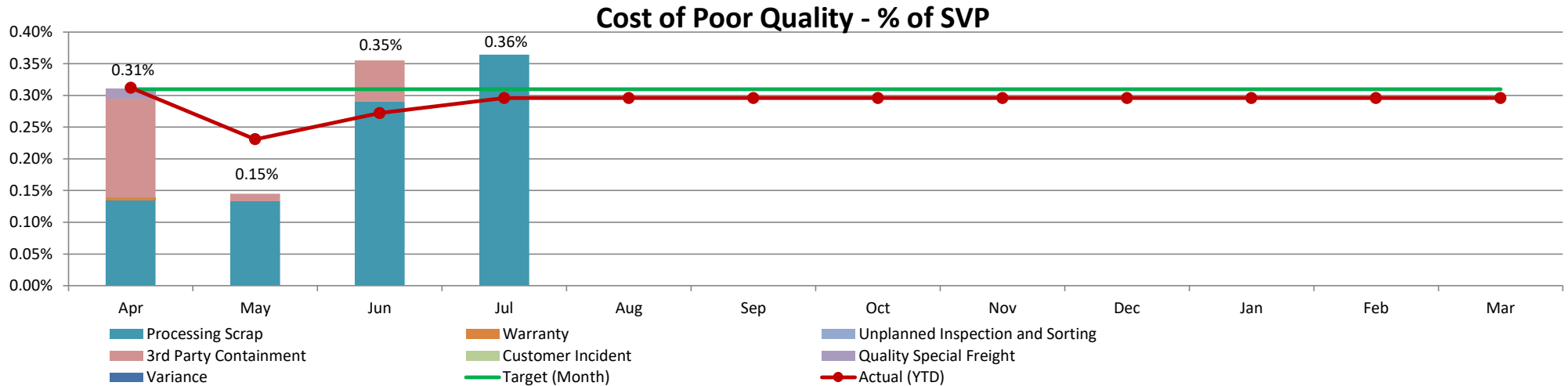


Quality – Cost of Poor Quality

Plant: JEO (Korea)

Reporting Period: July, FY-2027



Comments | Path Forward | Actions:

- ▶ Plant target for COPQ in July : 0.31%
 - COPQ Actual in July : 0.36%
 - YTD Actual : 0.30%

- ▶ Comments : COPQ in July consisted of
 - Scrap Cost : 100% (53 MKRW)
 - Customer Cost : 0%

- ▶ COPQ(%) did not achieve the target.

1. Internal scrap cost
 - Carrier scrap from the sintering generator failure : 24 MKRW (45% of total scrap)
 - a. Root cause: cooling coil crack → moisture in endo gas → poor brazing joints
 - b. Improving : 38 MKRW (Jun) → 24 MKRW (Jul), 38% ↓

- ▶ Path Forward
 - Continue the moisture / CO₂ monitoring routine to prevent recurrence.

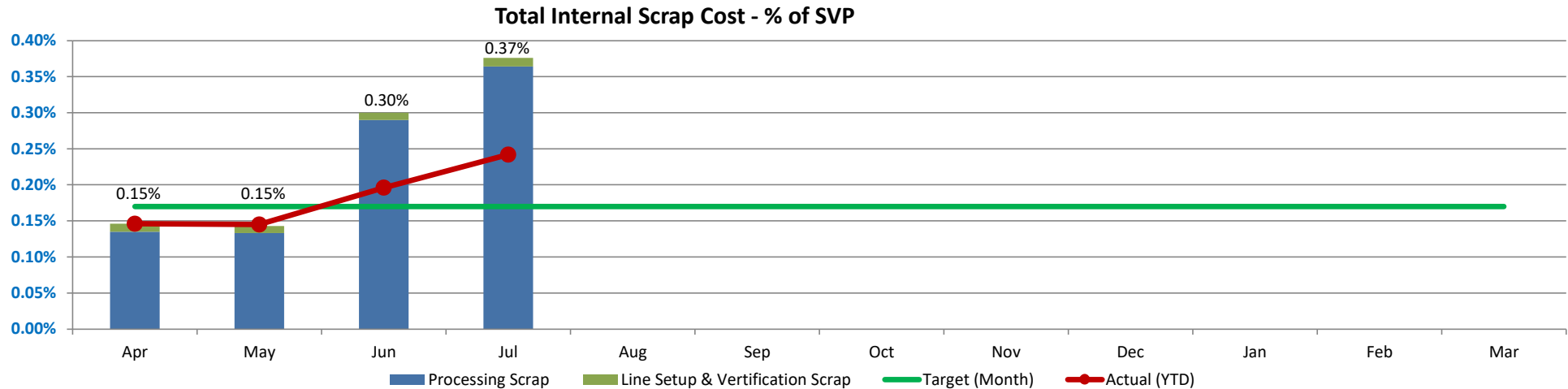
- ▶ Actions
 1. Generator repair completed.
(normal operation verified on July 6th)
 2. Prevention actions completed by July 14th.
: 8-year coil replacement cycle, separated piping for both generators, generator-specific gas ratio standards, daily CO₂ check sheet, and 30pcs sampling every 12 hours



QUALITY – Total Internal Scrap Cost

Plant: JEO (Korea)

Reporting Period: July, FY-2027



Comments | Path Forward | Actions:

- ▶ Plant Target for Scrap Cost in July : 0.17%
- Actual Scrap-cost in July : 0.37%
- YTD Actual : 0.24%

- ▶ Comments : Scrap rate in July consisted of
- Part1 (VMS Parts) : 31% (16 MKRW)
- Part2 (Transmission Parts) : 69% (36 MKRW)

- ▶ Internal scrap cost did not achieve the target.

- 1. Scrap cost
- The main issue was the surge in Carrier defects caused by the sintering generator failure (24 MKRW, 45% of total scrap)

- ▶ Path Forward
- Reduce scrap cost through continuous process improvement and management

- ▶ Actions
- Generator normal operation verified July 6th; Prevention actions completed by July 14th
- Continue monitoring with the daily CO2 check and 12hour sampling process

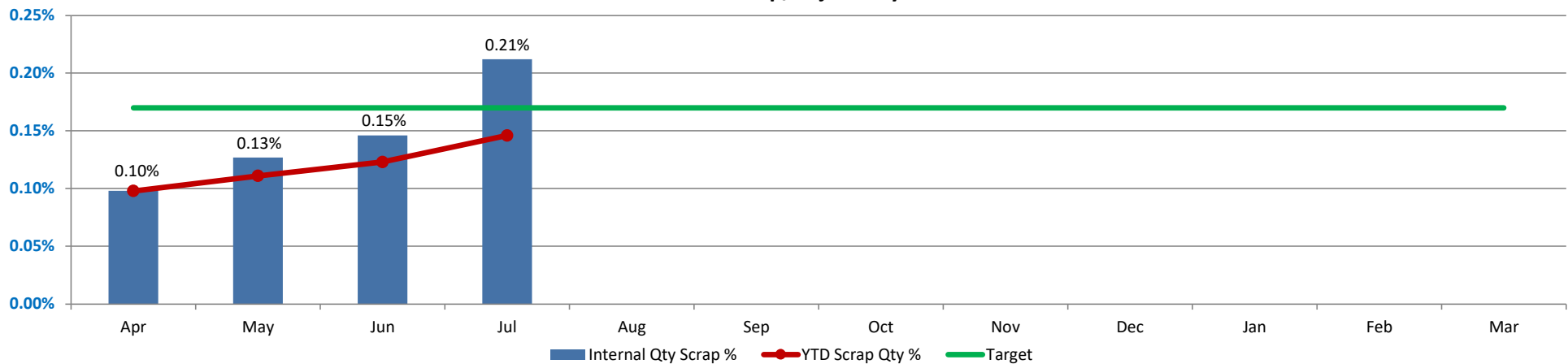


Quantity Total Internal Scrap/Reject as % of Total Produced

Plant: JEO (Korea)

Reporting Period: July, FY-2027

Total Internal Scrap/Reject Qty as % of Total Produced



Comments | Path Forward | Actions:

- ▶ Plant Target for Scrap Qty in July : 0.17%
- Actual Scrap Qty in July : 0.21%
- YTD Actual : 0.15%

- ▶ Comments : Scrap quantity in July consisted of
 - Part1 (VMS Parts) : 81%
 - Part2 (Transmission Parts) : 19%
 - Total quantity increased 54% from June (32K → 49K pcs)

- ▶ Internal scrap qty(%) did not achieved the target.

1. Scrap qty(%)
 - Rust : 11% of total qty. Up from 930 to 5,454 pcs vs. June (+486%, seasonal)
 - Pulley concentricity : 8% (3,880 pcs)
 - Lightning-induced power outage : 5% (2,435 pcs).
cause: lightning surge tripped the boiler, stopping steam treatment furnace.

- ▶ Path Forward
 - Continue rust prevention through the summer season.
 - Complete the pulley compacting standardization.
- ▶ Actions
 - Rust : increased rust-preventive coating, anti-rust film, pre-shipment re-inspection.
 - Pulley concentricity : improving feeder motion mechanism + verifying Mold structure.
 - Lightning surge : plan to expand surge protection devices.